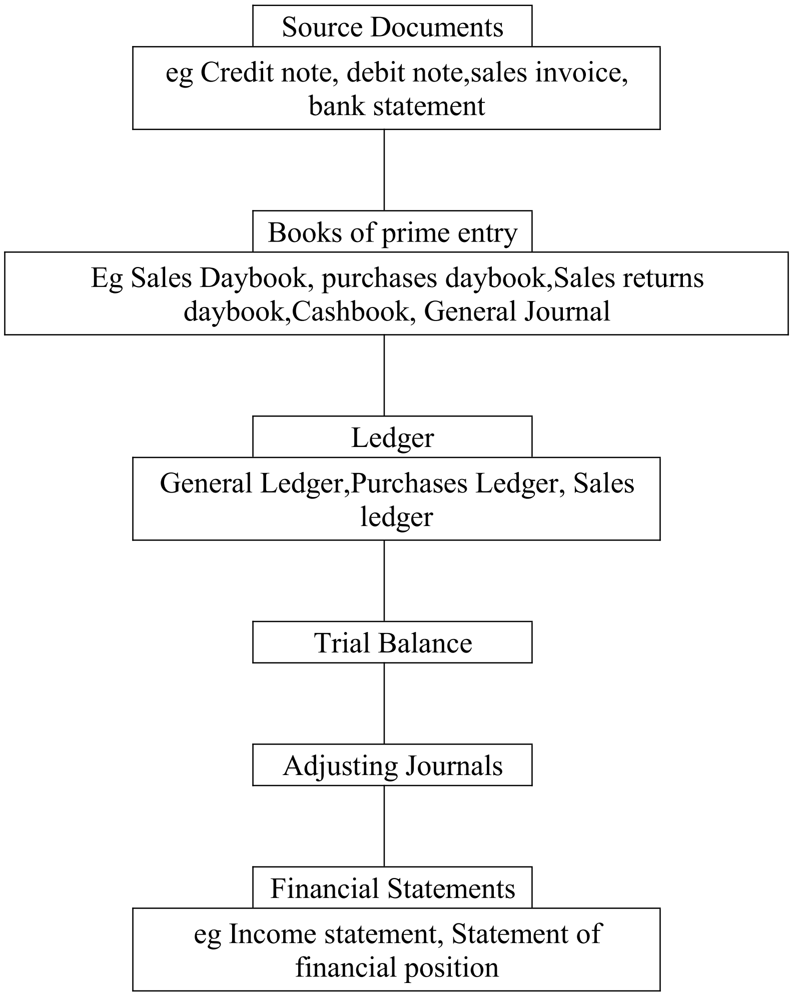
Accounting Cycle

The accounting cycle is defined as the stages through which accounting transaction go through in the accounting system from the point a transaction occurs up until the transaction is reported in the financial statements.This is illustrated below;



As shown above, the beginning of every transaction is the source document.These are documents at serve as proof that a transaction has occurred.To give as a example the sales invoice will serve a proof that within an organisation a credit sale has occurred.

The next stage in the cycle is when the source documents are recorded in the books of original entry.Books of original entry in accounting are books in which transactions are first recorded.The diagram above gives examples of books of original entry.Taking from the above example of a credit sale, the sales invoice will be recorded in the sales day-book.

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Following the books of original entry in the accounting cycle is the ledger.These are a set of books of accounts in which the transactions are classified and double entry I completed.There are 3 types of accounts as shown by the above digram.The sale transaction we recorded above will be entered in the ledger using double entry.The credit sale will involve an account for the respective debtor, the account will debited and classified into the sales ledger. The sales account will be the corresponding account and it will be credited and classified into the general ledger.

The trial balance will follow ledger.The trial balance is a list o debit and credit balances in the ledger. It is used to summarise the transactions in the ledger and to check for their accuracy.The total in the sales account is recoded on the credit side of the trial balance.The total of the sales ledger account is added and recorded on the debit side of the trial balance.

If there are any adjusting information such as errors, accrual prepayments and depreciation transactions, they are adjusted before the information in the trial balance is used to prepare the financial statements. In most cases, adjusting journal and/ the extended trial balance are used.The debtors in our examples may be adjusted for allowances for doubtful or bad debts.

The last stage in the accounting cycle is the preparation of the financial statements.Information adjusted for the additional information to the trial balance is used for this purpose.The sales in our example will be entered in the trading account of the income statement and the the debtors will be recorded in the current assets section of the statement of financial position.

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